

INSURANCE AND PENSIONS COMMISSION



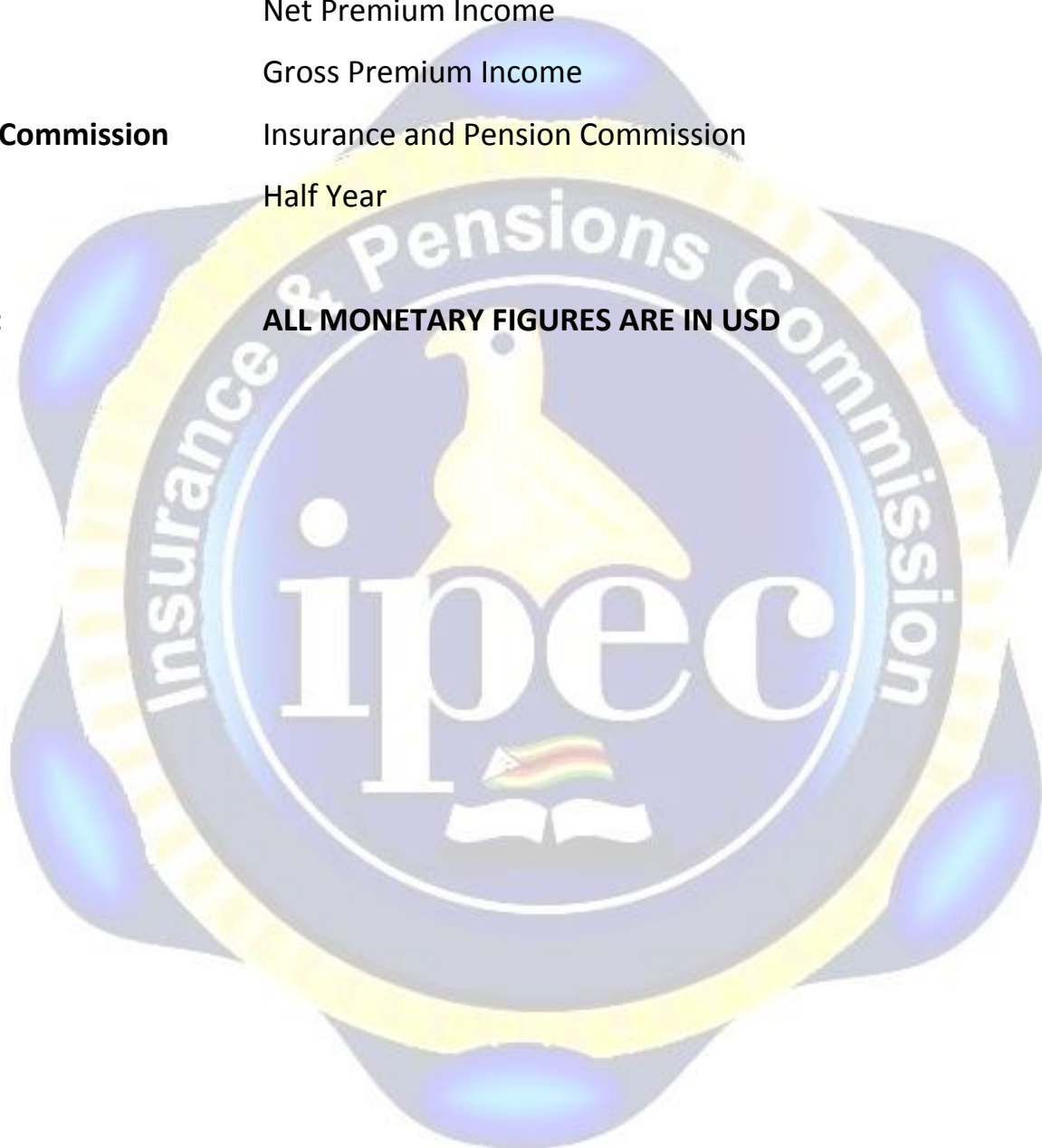
QUARTERLY REPORT
FOR
FUNERAL ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2012

1.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
H1	Half Year

NOTE: ALL MONETARY FIGURES ARE IN USD



2.0 Executive Summary

For the period under review, the funeral companies wrote gross premiums of \$18 million, a 27% growth from reported figures for the half year ended 30 June 2011.

The Commission noted that 1 player was not compliant with the current minimum capital requirements as stipulated by Statutory Instrument 183 of 2009. A recapitalization plan is being worked on. Members should take note of Circular Number 7 of 2012 which outlines the proposed new capital levels together with timelines for compliance.

The funeral industry reported a 71% increase in asset values to close the half year ended 30 June 2012 at \$52million (\$30million, June 2011). This was fuelled by a bias towards investments in the more stable property market as well as other assets. The industry also lags behind in terms of compliance with 7.5% prescribed assets ratio, a breach which may force the Commission to penalize players in terms of the law.

For the half year ended 30 June 2012, the major cost centers for the industry were management costs(53%) and claims(34%) feeding into an overall combined ratio of 75%(129%, June 2011). Whilst this is a general indication of some technical profits, IPEC continues to encourage players to prudently manage operational costs given the current depressed investment returns.

Despite rising claims and limited investment returns, funeral assurers continued to retain their entire business net to their balance sheets. IPEC continues to encourage players to retain business subject to their capacity and other prudent underwriting considerations to manage underwriting failure. Otherwise there is need to spread risk through reinsurance.

IPEC has penalized unregistered funeral assurance players, together with some agents, especially in the Bulawayo region. Additionally we have given directives for the wholesale transfer of business to registered players as part of our efforts to restore public confidence in the insurance sector in general. Funeral Assurers are therefore encouraged to adhere to ethical standards as a way of enhancing public confidence.

3.0 The Number of Funeral Assurance Companies

This report is centered on 11 registered players. During the period under review, the Commission embarked on a crackdown on unregistered players mainly from Bulawayo region where heavy penalties per player were charged in addition to directing the wholesale transfer of business to registered players.

4.0 Business Written

For the half year ended 30 June 2012, funeral companies realized \$18 million in gross written premiums. This translates to a 27% growth from business written in the comparable period last year (see Table 1 below). The Commission encourages players to continue giving high quality service which includes product innovation, shorter service turnaround periods and competitive, but economic, pricing in order to improve on product accessibility.

Table 1: Premium Distribution by Company

	GWP June-2012	GWP June-2011	Growth %
Cell	937,965	1,180,266	(21)
Doves	2,173,813	828,968	162
Fidelity	1,229,135	679,902	81
First Funeral	2,113,374	1,372,765	54
Foundation	212,533	108,619	96
Moonlight	2,306,812	1,846,200	25
Nyaradzo	8,142,218	7,901,062	3
Passion	391,036	52,148	650
Ruvimbo	134,988	89,775	50
Sunset	43,556	-	100
Vineyard	315,738	126,536	150
Total	18,001,168	14,186,241	27

5.0 Capitalisation and Actuarial Reserves

Capital

All players serve for one, were in compliance with the minimum capital requirements as per Statutory Instrument 183 of 2009. The Commission has engaged the player an acceptable regularization plan, is being implemented.

IPEC takes this opportunity to draw players' attention to Circular Number 7 of 2012 wherein proposed capital levels for funeral assurers have been staggered at \$2,4 million.

Actuarial Reserves

For the period under review, the funeral industry increased its actuarial reserves by 3% from the June 2011 figures in response to a rise in claims (See Table 2 and 3 below).

Retained Earnings

For the half year ended 30 June 2012, funeral assurers reported retained earnings of \$1.8million, a 27% fall from \$2.5million for the comparable period last year. This may be attributable to the need by the industry to finance critical business expenditure. (See Table 2)

Table 2: Capital and Actuarial Reserves

	Authorised Capital	Issued Share Capital	Paid up Capital	Actuarial Reserves	Actuarial Reserves		Retained Earnings	Retained Earnings		Other Liabilities	Other Liabilities	
				Jun-12	Jun-11	Growth %	Jun-12	Jun-11	Growth %	Jun-12	Jun-11	Growth %
Cell	500,000	1,347,000	1,347,000	-	142,257	(100%)	180,047	163,769	10%	131,755	186,933	30%
Doves	1,500,000	1,000,000	1,000,000	5,511,991	2,174,684	153%	539,873	0	0%	2,552,210	975,291	(162%)
Fidelity	500,000	335,933	335,933	1,172,096	406,052	189%	159,968	158,257	1%	326,532	120,180	(172%)
First Funeral	-	411,440	411,440	1,066,683	603,886	77%	82,738	(38,517)	(115%)	641,866	480,463	34%
Foundation	-	-	-	-	-	-	61,399	1,396	4298%	219,732	180,401	22%
Moonlight	2,000,000	1,500,070	1,500,070	6,760,507	1,450,551	366%	597,762	1,059,358	(44%)	2,943,150	1,487,413	(98%)
Nyaradzo	500,000	350,000	350,000	-	305,838	-	652,470	584,271	12%	18,098,670	7,730,480	134%
Passion	3,000,000	600	848,501	-	-	-	(617,281)	457,926	(135%)	324,426	557,613	42%
Ruvimbo	600,000	600,000	600,000	367,723	358,313	3%	(23,285)	4,500	(417%)	-	-	0%
Sunset	20,000	20,000	20,000	-	-	-	(390)	-	0%	-	-	0%
Vineyard	450,600	182,248	358,979	103,600	-	-	171,016	68,220	151%	180,757	13,914	1199%
Total	9,070,600	5,747,291	6,771,923	14,982,600	5,441,581	175%	1,804,317	2,459,180	(27%)	25,419,098	11,732,688	117%

6.0 Key Performance Indicators

Claims

The industry paid \$4.1million in claims for the period under review compared to \$2.8million paid for the same period the previous year. This reflects a 45% rise in the claims bill and a 25% claims ratio.

Claims were 34% of the total costs for the current reporting period (19% for the half year ended 30 June 2011).

Commission

Commission payments accounted for 13% of the industry's total costs (9%, June 2011).

Management (Operational) Expenses

Management expenses contributed the balance of 53% of the total costs, for the half year ended 30 June 2012, down from a 73% expenditure share for the same period last year. This was attributable to a major player slashing their operational expenses by 75%.

Combined Ratio

Funeral companies reported a sharp improvement in their combined ratio from 129% for the half year ended 30 June 2011 to the current 75%. This was mainly due to a sharp drop in the expense ratio of a major player as alluded above. A combined ratio that exceeds 100% implies an unhealthy financial position implying no scope for operating(technical) profit which is very critical to attain in the absence of viable investment returns(See Table 3 below).

General Comment

We continue to note some errors regarding the Revenue and Expenditure Section in the quarterly written which are dully signed by top company officials like the principal officers. For example we cannot have a functional player reporting nil management expenses or net written premium figures exceeding gross premiums.

We strongly encourage top industry executives to superintend compilation of such returns in conjunction with their accountants who may not be aware of some basic insurance technical terms.

Table 3: Key Performance Indicators By Company

	Net Premium written			Claims			Commissions			Management Expenses			Combined Ratio	
	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11
Cell	937,965	1,180,266	(21%)	4,044	28,549	(86%)	0	0	#DIV/0!	406,752	531,120	(23)	66%	47%
Doves	2,159,539	820,239	163%	710,843	206,240	245%	144,499	54,605	165%	772,707	420,003	84%	60%	83%
Fidelity	1,229,135	679,902	81%	69,695	28,102	148%	235,808	97,317	142%	419,487	394,857	6%	64%	77%
First Funeral	1,827,635	1,154,960	58%	491,787	227,656	116%	236,285	165,459	43%	829,740	714,810	16%	87%	96%
Foundation	200,000	104,903	91%	20,264	7,443	172%	33,938	13,080	159%	118,145	105,414	12%	100%	120%
Moonlight	2,306,812	1,846,200	25%	197,223	171,093	15%	322,476	230,250	40%	1,606,374	1,329,712	21%	40%	94%
Nyaradzo	6,786,592	5,816,572	17%	2,519,567	2,132,241	100%	548,499	779,645	(30%)	1,889,831	7,421,873	(75%)	66%	178%
Passion	391,036	52,148	650%	33,154	1,500	2110%	5,694	0	100%	184,278	75,982	143%	57%	149%
Ruvimbo	134,988	89,775	50%	18,394	10,666	72%	3,434	2,640	(30%)	118,521	42,194	181%	69%	62%
Sunset	37,522	0	#DIV/0!	300	0	#DIV/0!	3,052	0	#DIV/0!	31,837	0	#DIV/0!	94%	0%
Vineyard	315,738	126,536	150%	48,183	15,431	212%	49,212	13,489	265%	157,375	55,943	181%	81%	67%
Total	16,326,962	11,871,501	36%	4,113,454	2,828,921	45%	1,582,897	1,356,485	17%	6,535,047	11,091,908	(41%)	75%	129%



7.0 Asset bases

Table 4 and Figure 1, below, illustrate the total assets for the funeral assurance industry for the half year ended 30 June 2012.

Stocks and Shares

Equity holding decreased by 11% from \$746 000 for half year ended 30 June 2011 to \$667 000 in the period under review .This may be due to the generally bearish conditions on the Zimbabwe Stock Exchange forcing players to divest to alternative investment avenues .

Land and Buildings

Property holding by funeral companies rose sharply by 91% to \$13million for the current reporting period (\$7million, June 2011).This was because of a major portfolio bias towards the more stable property market by the top 2 industry players. Because of the long term nature of funeral assurance business, such an investment strategy is commendable.

Land and buildings constituted 25% of total assets for the period under review.

Cash

Cash asset holding increased by 144% to \$3million (\$1 million, June 2011).Although liquidity is of significance importance in funeral business, holding huge sums of money in banks may not be a good idea as these funds should be invested in better paying investments.

Other Assets

The balance of 67% of total assets held industry was in other assets. To promote full disclosure in this category, among other issues, the Commission has designed a new quarterly return template which should be used in the third quarter report.

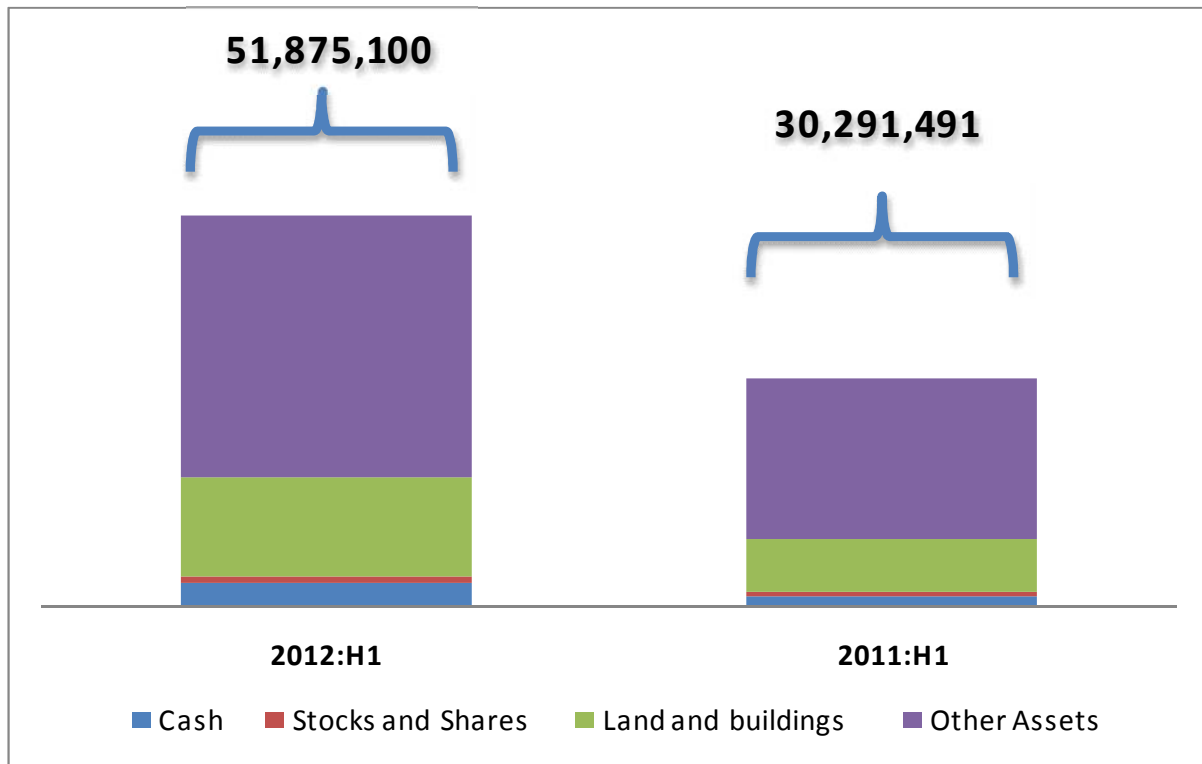
Prescribed Assets

Funeral companies must statutorily invest 7.5% of their assets in prescribed assets. The Commission requires compliance in this regard, failure of which attracts penalties in terms of the law. There are various government bonds in the market which players can invest in. Accordingly, there are no plausible reasons why players should not comply with this statutory requirement.

Table 4: Funeral industry Asset bases

	Stocks and Shares			Land and Buildings			Cash			Other Assets			Total		
	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth
Cell	12,289	0	#DIV/0!	240,568	0	#DIV/0!	825,777	0	#DIV/0!	580,797	1,242,959	(53%)	1,659,431	1,242,959	34%
Doves	56,731	62,116	(9%)	1,244,850	1,227,068	1%	59,985	340,149	(82%)	9,242,508	7,966,139	16%	10,604,074	9,595,472	11%
Fidelity	452,807	436,082	4%	124,603	84,218	48%	22,891	112,562	(80%)	1,394,227	401,627	247%	1,994,528	1,034,489	93%
First Funeral	14,690	10,690	37%	671,692	643,778	4%	22,654	94,041	(76%)	1,648,871	1,051,845	57%	2,357,907	1,800,354	31%
Foundation	0	0	#DIV/0!	1,002,000	1,002,000	0%	16,343	30,944	(47%)	314,870	214,292	47%	1,333,213	1,247,238	7%
Moonlight	0	0	#DIV/0!	5,510,000	2,761,342	100%	0	0	#DIV/0!	6,291,489	2,707,051	132%	11,801,489	5,468,393	116%
Nyaradzo	128,021	234,207	(45%)	3,490,363	745,833	368%	2,234,341	776,939	188%	13,519,706	6,172,589	119%	19,372,431	7,929,568	144%
Passion	0	0	#DIV/0!	0	0	#DIV/0!	(20,488)	0	#DIV/0!	237,302	277,968	(15%)	216,814	277,968	(22%)
Ruvimbo	0	0	#DIV/0!	300,000	200,000	50%	1,303	(5,611)	23%	928,889	1,012,540	(8%)	1,230,192	1,206,929	2%
Sunset	0	0	#DIV/0!	336,933	0	#DIV/0!	100,000	0	#DIV/0!	53,736	0	#DIV/0!	490,669	0	#DIV/0!
Vineyard	2,953	2,781	6%	244,014	238,914	2%	42,260	6,239	577%	525,125	240,188	119%	814,352	488,122	67%
Total	667,491	745,876	(11%)	13,165,023	6,903,153	91%	3,305,066	1,355,263	144%	34,737,520	21,287,198	63%	51,875,100	30,291,492	71%

Figure 1: Asset Composition



8. Claims

As highlighted earlier in the report, an upward trajectory in net claims was reported by industry. This is an early warning sign for the need to employ prudent risk spreading mechanisms like reinsurance and we continue to encourage players to explore this avenue.

Death Claims

Claims by death constituted 93% of the total claims for the period under review.

Matured /Paid Up Policies

According to submitted returns, there was no differentiation between these two policies, a scenario which will be addressed in the new template to be in use in the coming quarter. For the half year ended 30 June 2012, mature policies constituted 8% of total claims .IPEC requires adequate provisions for such policies given that premium payments were predominantly in Zimbabwe dollars. Notwithstanding the foregoing, players must honour their contractual obligations.

Premium Refunds/Lapses

The industry reported negligible lapses. It should be noted that best practice allows maximum lapse ratios of 20%.

(See Table 5 below)



Table 5: Claims Statistics by Company

	By death			Paid Up			Premium Refunds/Lapses			Total Gross Claims			Net Claims		
	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth	Jun-12	Jun-11	Growth
Cell	4,044	28,549	86	0	0	0	-	-	-	4,044	28,549	86%	4,044	28,549	86
Doves	426,506	128,240	233%	284,337	78,000	265%	-	-	-	710,843	206,240	245%	710,843	206,240	245%
Fidelity	69,695	28,102	148%	0	0	0	-	-	-	69,695	28,102	148%	69,695	28,102	148%
First Funeral	491,787	227,656	116%	0	0	0	-	-	-	491,787	227,656	116%	491,787	227,656	116%
Foundation	14,091	7,443	89%	35	-	-	6,138	-	-	20,264	7,443	172%	20,264	7,443	172%
Moonlight	197,224	171,093	15%	-	-	-	-	-	-	197,224	171,093	15%	197,224	171,093	15%
Nyaradzo	2,519,567	1,571,364	(60%)	-	560,877	-	-	-	-	2,519,567	2,132,241	(18%)	2,519,567	2,519,567	(18%)
Passion	33,154	1,500	2110%	-	-	-	-	-	-	33,154	1,500	2110%	33,154	1,500	2110%
Ruvimbo	18,394	10,666	72%	-	-	-	-	-	-	18,394	10,666	72%	18,394	10,666	72%
Sunset	300	-	-	-	-	-	-	-	-	300	-	-	300	-	-
vineyard	48,183	15,431	212%	-	-	-	-	-	-	48,183	15,431	212%	48,183	15,431	48,183
Total	3,822,945	2,190,044	75%	284,372	638,877	55%	6,138	-	-	4,113,455	2,828,921	45%	4,113,455	2,828,921	45%

9. Agents Database

Funeral companies reported their agents database as illustrated in Table 6 below. The Commission reminds the industry players that, in terms of the Insurance Act, the use of unregistered agents attract punitive fines and repeat offenders may compel the Commission to take more drastic action.

Table 6: Agents By Company

	Fully Registered Agents		Provisionally Registered Agents		Unregistered Agents		TOTALS
	Individual	Corporate	Individual	Corporate	Individual	Corporate	
Cell Funeral	1	-	-	-	-	-	1
Doves Funeral	0	-	0	-	-	-	0
First Funeral	40	1	-	-	-	-	41
Foundation	0	-	-	-	-	-	0
Fidelity Funeral	2	-	18	-	-	-	20
Moonlight	201	-	90	-	-	-	291
Nyaradzo Funeral	49	-	88	-	-	-	137
Passion Funeral	2	-	10	-	-	-	12
Ruvimbo Funeral	1	1	10	-	-	-	12
Sunset Funeral	10	0					10
Vineyard Funeral	1	1	-	10	-	-	12
TOTALS	284	2	65	-	-	-	536

Conclusion

The Commission continues to encourage players to take heed of observations and recommendations herein in order to enhance compliance issues, and industry sustainability. Members are reminded that the new quarterly returns template will be operational effective the third quarter. Principal Officers and their accountants need to be well acquainted with the aforesaid return in order to ensure not only timeous but also accurate submission of the returns. The management of the Commission will be available to assist completion of the return where necessary.